

Consortial funding and downward price pressure for open access

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Different groups of open-access advocates want different things to be achieved by OA. The “OA movement” is not a homogenous group. Some members of the group believe that all publishing labour is unnecessary or could/should be volunteerist. Others want to allow people to read green open access accepted versions, but are happy to leave it at that. Some want a wholesale flip to gold open access and accept that it might cost more. Still a further group wants to challenge the dominance of a small group of big for-profit publishers. Finally, a further group hopes that open access will pose a solution to library purchasing costs by making the entire process cheaper. It seems unlikely, with this diverse set of goals, that everyone will be satisfied in the long run, even if OA is becoming broadly accepted as the future.

On a related note, I am often asked why OLH is itself a publisher, rather than just being a consortial funder. After all, SCOAP3 and Knowledge Unlatched, for instance, have had success at achieving open access to high-energy physics and humanities books, respectively, even while they are not, themselves, publishers.

The reason that OLH is a publisher and takes on journals is, though, because my thinking has led me to desire the following principles in an open access world:

1. Gold open access is preferable but without article processing charges.

2. The necessary labour of publishing should be remunerated.
3. Publishing of research should be done on a not-for-profit basis.
4. Not-for-profit organizations should build a sustainability surplus for operational safety.
5. However, most importantly, the price of publishing should be proportionate to the cost of the activities, not to existing profit margins (which are sometimes 30% or more).

In other words, I believe that gold OA funded by consortial models can and should be cheaper than either the article processing charge rates levied by traditional publishers or their subscription models (but that it also cannot be free). We want to save library budgets in order to facilitate a transition to OA.

But how, in a distributed scheme of funding that comes from many libraries, is this to be achieved? Let us assume (incorrectly) that OLH purely funded other companies' journals. The process of moving a journal to an open-access model would rely on two factors: 1. the editors' desire and consent; 2. the publisher's desire and consent. The first of these can be tricky to get in any flipping model anyway; it requires the editorial board to feel confident in the move and to understand what open access is all about. The second of these, though, can be very difficult to get from for-profit entities in particular. If the subscription model works well for them, any new funding model has to match or reliably exceed what is currently received and expected by shareholders (and Informa say in their annual report that subscriptions are a "*uniquely* attractive mode"; as in, there is no model better in their view). In other words, funding consortia can find themselves at the price mercy of existing publishers. This can be good to achieve open access and can facilitate that goal. However, it is less likely to save any library any money in so doing.

But this is not what OLH does. Instead, we are also a publisher. This, of course, entails additional labour and technical overheads on our part. But what it also does is to fix an acceptable price point as far as we are concerned. We know how much it costs us to handle an article (roughly speaking at a known volume and staff capacity) and can use this as a price point in negotiations. So, if an editorial board who are currently at another publisher comes to us and wish to go full OA, we have a price point that we can ask an existing publisher to match. If the publisher won't match it, then the journal can leave that publisher and come over to our system and we will publish it. If the

publisher can match it, then we can fund them to go OA (and this is great because it lowers our labour overheads). Without our own infrastructure, though, we cannot possibly hope for consortial OA funding to achieve any cost savings for libraries, which is part of our goal.

In short, I have long argued that the academic publishing environment is dysfunctional and does not work as a conventional market. Or, if it does, in my view it's one that has been thoroughly subjected to monopolistic-type practices. Funding consortia for OA are a good solution, in my view, to the challenges of distributing the costs of gold open access, which I think must still be met. However, divorced from any demonstrated price point, such consortia will struggle to argue for lower pricing of academic publishing. Rates will be based on what the market will bear, rather than what it actually costs, which will continue the ongoing hyperinflationary serials crisis.

And that's why we are a publisher.